

DRAFTKINGS INC.

(NASDAQ: DKNG)

The Sportsbook Obituary Is Premature; DKeX Is a Free Call Option

BUY — \$27.00 Target

Equity Research Note · Consumer Discretionary — Online Betting & Gaming · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$27.00	\$18.59	+45.2%	High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$9.2 bn (~500 mn sh × \$18.59)	DKeX	Prediction-market exchange launched Jun 2026; live in 48 states
Price (Oct 2, 2026)	\$18.59	iGaming	Legal in a handful of states — the most profitable leg, mostly ahead
52-week range	~\$18.52 – \$36.98	2026 drawdown	–39% YTD on prediction-market and regulatory fears
2026E adj. EBITDA	~\$1.0 bn (company target)	Next catalyst	Q3 2026 earnings; state legalization headlines; DKeX share data
Sportsbook handle	+15% YoY as the NFL season kicked off		

1 Investment Thesis

DraftKings has fallen 39% in 2026 and now trades at \$18.59 — pricing in the obituary of the American sportsbook at the hands of prediction markets. That obituary is premature. The core business — online sports betting and iGaming in licensed states — is on track to generate roughly \$1 billion of adjusted EBITDA in 2026, sportsbook handle was growing 15% year over year as the NFL season kicked off, and the structural economics of mature-state sports betting keep improving as promotional intensity fades and hold percentages rise. The market has confused a real competitive question (what do Kalshi and Polymarket mean for the industry?) with a settled negative answer, and the resulting multiple prices the core franchise as though it is already in decline.

Our judgment is that prediction markets are a threat to be managed, not a death sentence — and DraftKings is managing it better than the stock price suggests. In June 2026 the company launched DKeX, its own prediction-market exchange, which has since expanded to 48 states and is capturing share in the markets where it participates. That footprint matters enormously: prediction markets operate nationally under federal derivatives oversight, which means DraftKings can now acquire customers in states where sports betting remains illegal — California, Texas, Florida — and cross-sell them if and when those states legalize. The market values DKeX at zero; we see a free call option on the industry's fastest-growing segment, held by the operator with the best customer-acquisition machine in the business.

The third leg is the legalization runway, which remains the most underappreciated source of compounding in the name. iGaming — far more profitable per user than sports betting — is legal in only a handful of states, and each new state that legalizes online casino is a step-change in DraftKings' earnings power. Sports betting still has large holdouts. Every year that passes without legalization is a year of deferred, not destroyed, value — and the prediction-market dynamic may actually accelerate the process by forcing states to confront the revenue they are leaving on the table.

Our \$27.00 fair value requires no heroics on prediction markets: it values the core sportsbook and iGaming business on its march toward mature-state margins, treats DKeX as a modest positive rather than the savior, and credits the legalization pipeline at a discount. The bear case — in which prediction markets structurally cannibalize the sportsbook and regulators pile on — sits below today's price, and we respect it; regulatory headlines have driven much of this year's decline. But at \$18.59, the market is asking us to believe the bear case is the base case. The operating data says otherwise. The rating is BUY.

Why the market will care (eventually)

- **The core is worth more than the market thinks.** Handle keeps growing at a mid-teens pace, hold keeps improving with product sophistication — live betting, same-game parlays, personalization — and the promotional arms race of the land-grab years is over. That alone, on reasonable multiples, supports a price well above \$18.59.
- **DKeX at zero is the wrong number.** Months old, leveraging DraftKings' brand and enormous existing customer base at near-zero marginal acquisition cost, with a 48-state footprint giving DraftKings something it never had: a legal product in California and Texas.
- **Legalization is deferred, not destroyed, value.** iGaming's superior unit economics in each newly legalized state is a step-change the current price barely credits; regulatory friction is assumed in our target, not wished away.

2 Business Overview — What DraftKings Is Doing

(Boston, Massachusetts; CEO Jason Robins)

DraftKings Inc., headquartered in Boston, is one of the two dominant online sports betting operators in the United States alongside FanDuel, with a growing iGaming (online casino) business in states where it is legal. The company operates mobile sportsbooks in the majority of legal-betting states, digital casino products, the Jackpocket digital lottery courier acquired in 2024, and — since June 2026 — the DKeX prediction-market exchange, now live in 48 states. DraftKings also operates in Ontario and has exposure to international markets.

The economics of the core business follow a well-understood maturation curve. New states lose money initially as operators spend heavily on promotions and customer acquisition; over two to four years, promotional intensity fades, the customer base seasons, hold percentages (the share of handle the operator keeps) improve with product sophistication — particularly same-game parlays — and the state flips to strong profitability. iGaming is structurally superior: higher hold, lower promotional intensity, and stickier customers. As the state mix matures and iGaming grows as a share of revenue, company-wide margins expand — the dynamic behind the roughly \$1 billion 2026 adjusted EBITDA target.

The prediction-market landscape adds a new dimension. Kalshi and Polymarket operate sports event contracts nationally under Commodity Futures Trading Commission oversight, competing with sportsbooks on pricing — recent data showed Kalshi's implied vig below both major sportsbooks for NFL Week 1 — while DraftKings' DKeX gives it a foothold in the same structure. The regulatory backdrop is fluid: court cases over states' authority to restrict prediction markets remain unresolved, with key deadlines extending into late 2026.

3 Financial Analysis

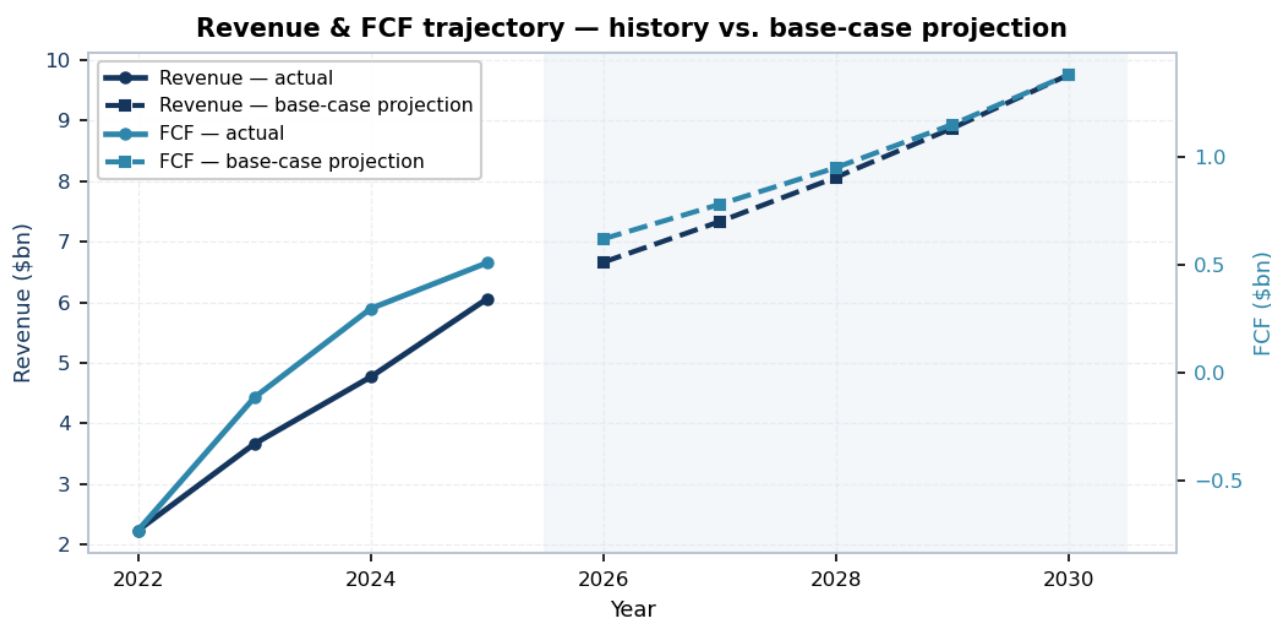
\$ bn	2022	2023	2024	2025
Total revenue	2.24	3.67	4.77	6.06
YoY growth	—	+63.6%	+30.0%	+27.0%
Operating cash flow	−0.63	−0.00	0.42	0.66
Free cash flow	−0.73	−0.12	0.30	0.51
2026E adj. EBITDA (target)	—	—	—	~1.0

Sources: company filings via Yahoo Finance (annual). 2026E adjusted EBITDA per company target. FCF = operating cash flow less capex.

The operating trajectory points the other way from the stock price. Revenue compounded from \$2.24 billion in 2022 to \$6.06 billion in 2025, and free cash flow inflected from negative \$0.73 billion to positive \$0.51 billion over the same period — the land-grab era's losses are behind it. The roughly \$1 billion 2026 adjusted EBITDA target, against a ~\$9 billion market cap, means the market capitalizes a profitable, growing earnings stream at a multiple that implies earnings have peaked.

A cross-check on EV-to-forward-EBITDA supports the conclusion: the operating trajectory (15% handle growth, expanding hold, maturing states) points to growing, not peaking, earnings. Our DCF values the core sportsbook and iGaming business on its march toward mature-state margins — roughly \$1 billion of 2026 EBITDA growing at double-digit rates — with DKeX as a modest positive and the legalization pipeline credited at a discount. Terminal growth is capped at 2.5% on normalized mid-cycle margins, and we do not assume prediction-market dominance in any scenario.

Revenue & cash-flow trajectory

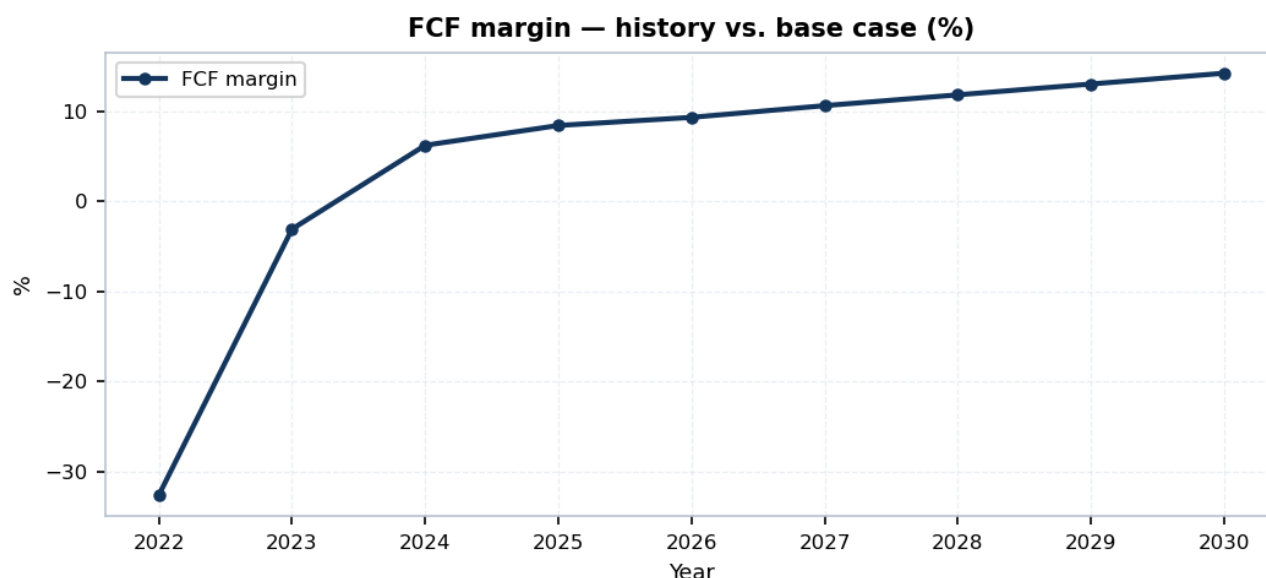


History: company filings via Yahoo Finance (FCF = operating cash flow less capex). Projections: base case — double-digit revenue growth as states mature, FCF margins expanding toward mature-state levels.

4 Moat & Competition

- **Scale and brand in a two-player market.** One of two dominant US online sportsbooks alongside FanDuel; the customer-acquisition machine and brand are the best in the business — the assets DKeX leverages at near-zero marginal cost.
- **The state-maturation curve.** Two to four years from launch to strong profitability per state, with hold improving on product sophistication; the growing base of mature states is a compounding earnings engine competitors cannot shortcut.
- **iGaming's structural superiority.** Higher hold, lower promotional intensity, stickier customers than sports betting — and legal in only a handful of states, so the highest-margin leg is mostly ahead.
- **DKeX's 48-state footprint.** A legal product in California, Texas, and Florida — states where sports betting remains illegal — creating a customer-acquisition funnel no sportsbook-only rival can match.
- **The moat's weak link: no pricing power against prediction markets.** Kalshi's implied vig undercut both major sportsbooks for NFL Week 1; if prediction markets structurally cannibalize handle, the maturation curve breaks — which is why mature-state handle is our downgrade tripwire.

FCF margin — history vs. base case (%)



5 Valuation — 10-year scenario FCF DCF (core sportsbook + DKeX option), Fair Value \$27

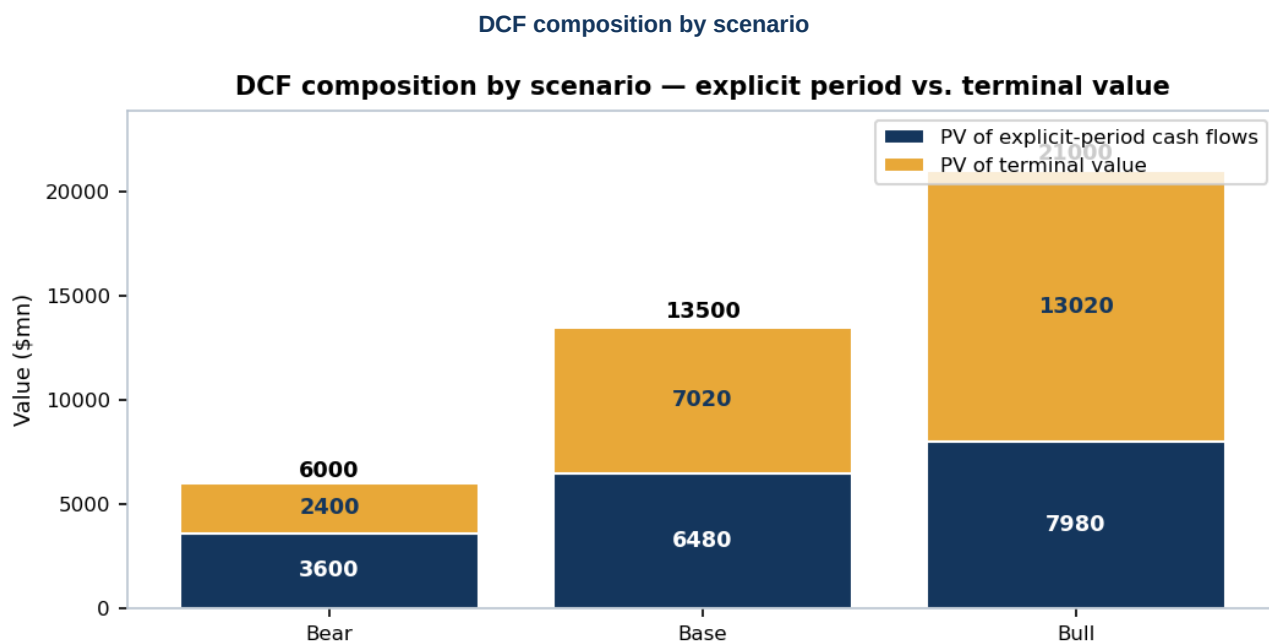
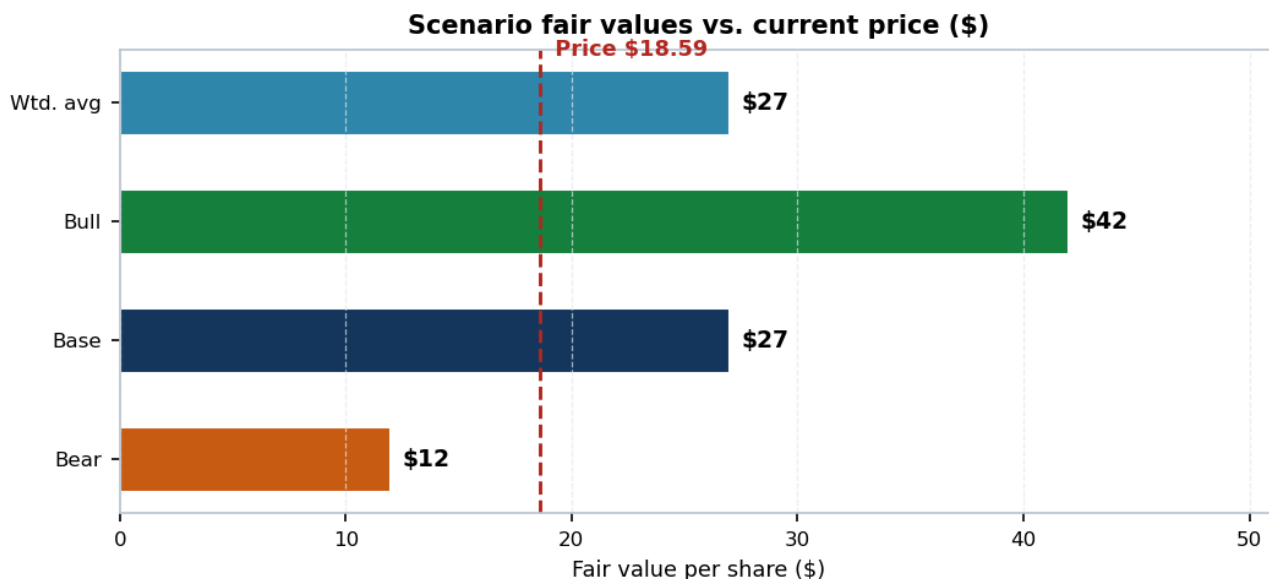
We value DraftKings on a 10-year probability-weighted scenario DCF of free cash flow — weights bear 25% / base 50% / bull 25% — discounted at 12% in the base case to reflect the speculative elements (regulatory uncertainty, the prediction-market competitive question) balanced against the demonstrated profitability of the core; bear 14.5% (base + 250bp), bull 10.5% (base – 150bp). Terminal growth is capped at 2.5% on normalized mid-cycle margins, and we do not assume prediction-market dominance in any scenario.

In the base case (\$27.00), the core sportsbook and iGaming business grows handle and revenue at double-digit rates as states mature, adjusted EBITDA margins expand toward mature-state levels, DKeX contributes modestly, and the legalization pipeline adds states over time. The bear case (\$12.00) is genuinely adverse and sits below the current price: prediction markets structurally cannibalize sportsbook handle, Kalshi's pricing advantage proves durable, states raise betting taxes, DKeX fails to gain traction, and the core business stagnates. The bull case (\$42.00) assumes iGaming legalization accelerates across states, DKeX scales into a major prediction-market player and acquisition funnel, and mature-state margins reach their full potential. The probability-weighted fair value equals our \$27.00 target.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Prediction markets structurally cannibalize sportsbook handle; Kalshi pricing advantage endures; states raise betting taxes; DKeX fails to scale	+8.0%	25%	14.5% / 1.0%	40%	\$12.00
Base	Handle and revenue grow double-digits as states mature; EBITDA margins expand toward mature-state levels; DKeX contributes modestly; legalization pipeline adds states	+12.0%	32%	12.0% / 2.0%	52%	\$27.00
Bull	iGaming legalization accelerates; DKeX scales into a major prediction-market player and acquisition funnel; mature-state margins reach full potential	+17.0%	38%	10.5% / 2.5%	62%	\$42.00
Wtd. avg	Probability-weighted (25/50/25) → \$27.00 target					\$27.00

Scenario fair values are per-share equity values from the FCF DCF (~500 mn shares). $0.25 \times \$12.00 + 0.50 \times \$27.00 + 0.25 \times \$42.00 = \27.00 .

Scenario fair values vs. current price (\$)



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$mn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Prediction-market competition.** Kalshi and Polymarket offer better pricing on straight bets and operate nationally; structural share loss from sportsbooks is the central risk.
- **Regulatory risk.** Unresolved court cases on prediction markets, potential state tax increases on sports betting, and federal scrutiny (including the congressional probe) could impair economics.
- **Promotional competition.** Rivalry with FanDuel and others could re-intensify, compressing margins.
- **DKeX execution.** The exchange is early-stage with small market share; failure to scale would strand the strategic rationale.
- **Responsible-gambling and reputational risk.** Scrutiny of AI-driven customer targeting could invite restrictive regulation.

- **International setbacks.** The Brazil betting ban demonstrates regulatory risk outside the US.

What would change our mind

Downgrade to HOLD on: sportsbook handle declining year over year in mature states for two consecutive quarters — evidence of structural cannibalization by prediction markets; adjusted EBITDA guidance cut materially below the roughly \$1 billion 2026 target for non-regulatory reasons; DKeX shut down or withdrawn from major markets, eliminating the strategic option value; a federal or multi-state regulatory action that structurally raises the tax/fee burden on sports betting by a large margin; or market-share loss to FanDuel accelerating in head-to-head states, indicating competitive positioning — not just sector headwinds — is the problem. We watch: mature-state handle, hold percentages, DKeX volume share, and state tax headlines.

7 Methodology

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit 10-year forecast horizon, weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floored at 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins — never peak margins — and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For DraftKings the base discount sits in the speculative tier to reflect regulatory uncertainty and the prediction-market competitive question.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.